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2027 CYCLE

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CUET UG

Business Studies

Organising

Official Syllabus Unit V · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Business Studies syllabus 2026, the current 2027 baseline, Unit V)	Skills the questions test
Meaning, importance, process	Meaning and importance; Steps in the process of organising.	Stating the "defining and grouping activities" meaning, ordering the four process steps (divide work, departmentalise, assign duties, reporting relationships), and matching each importance point to a situation.
Structures — functional and divisional; formal and informal	Structure of organization – functional and divisional; Formal and informal organisation.	Choosing the right structure for a described firm, weighing pros and cons of each, and separating formal (designed) from informal (grown through social contact).
Delegation	Delegation: meaning, elements and importance.	Naming the three elements (authority, responsibility, accountability), knowing accountability cannot be delegated, and explaining why delegation matters.
Decentralisation and the difference	Decentralization: meaning and importance; Difference between delegation and decentralisation.	Stating that decentralisation is the top's deliberate policy spread across all levels, listing its importance, and tabulating the delegation–decentralisation differences (origin, scope, control, freedom).

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EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with

+5 for every correct answer and −1 for every incorrect answer. Unit V is structure-and-power territory: expect classification questions on structures, element questions on delegation, and the classic delegation-vs-decentralisation comparison.

What Organising Actually Is

Planning decides **what** is to be done; organising decides **how the work will be divided, grouped and connected** so that the plan can actually run. A school with forty teachers still needs somebody teaching Class 9 Maths, somebody keeping the fee records, somebody coaching the football team — and everybody knowing whom they report to. Building that arrangement — defining and grouping activities, then tying them together with authority relationships — is the function of organising.

- **Definition:** organising is the process of **defining and grouping the activities** of the enterprise and **establishing authority relationships** among them.
- **Two jobs in one:** it divides the total work into manageable jobs **and** links the jobs with **who-is-responsible-to-whom** lines.
- **A structure, not a chart alone:** the organisation chart shows the arrangement on paper; the real structure is the living network of duties, authority and reporting that the chart represents.

Why organising matters — the importance

- **Benefits of specialisation:** dividing work into fixed jobs lets each person become expert at one thing — repetition builds speed, accuracy and skill.
- **Clarity in working relationships:** everyone knows **who reports to whom and who decides what** — confusion and overlapping duties disappear.
- **Optimum utilisation of resources:** proper grouping matches people, machines and materials to the work they serve best — no idle capacity, no duplicated effort.
- **Adaptation to change:** a well-designed structure can absorb new products, new departments and new technologies without collapsing.
- **Effective administration:** clear groups and clear bosses make direction and control simple — orders flow down, results flow up.
- **Development of personnel:** delegation inside the structure gives employees authority to exercise and judgment to build — tomorrow's managers grow in today's jobs.
- **Expansion and growth:** with departments and reporting lines already in place, adding a new product line or branch means extending the structure, not rebuilding it.

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The organising process — four steps



Exam anchor: the four steps come in a fixed order — divide work **first**, group into departments **second**, assign duties **third**, fix reporting links **last**. Questions shuffle them and ask for the correct order or the step a described action belongs to.

Figure 1: Figure 1 — The organising process: four steps that turn a plan's total work into a working structure with clear reporting lines.

- **Step 1 — Identification and division of work:** the total work is split into specific jobs according to predetermined plans — each job gets a clear, manageable scope, so no task is orphaned and no one holds a vague post.
- **Step 2 — Departmentalisation:** similar and related jobs are grouped into departments or divisions — by function, by product or by region — so that related activities sit under one head.
- **Step 3 — Assignment of duties:** each department is placed under the charge of a person whose skills and qualification match its work — the right head for the right job.
- **Step 4 — Establishing reporting relationships:** authority and responsibility links are fixed — every member knows their own duties **and** to whom they report, completing the structure.

THE FOUR STEPS — ONE LINE EACH

Divide the work → Group into departments → Assign department heads → Fix who reports to whom.

Structures — Functional and Divisional

Once the process runs, the firm must choose the **pattern** along which its departments are cut. The syllabus names two: the **functional** structure and the **divisional** structure. Questions usually describe a firm and ask which structure suits it — the answer turns on **how many products** the firm sells and how large it is.

Functional structure — grouped by what is done

- **What it is:** jobs are grouped by the **functions** every business performs — production, marketing, finance, personnel — each under its own head, and all reporting to the top.
- **Best suited to:** large firms making **one product line or a narrow set** — a cement company, a power utility, a steel plant.
- **Strengths:** deep specialisation and efficiency inside each function; less duplication of resources; simple training of managers within their field; easy coordination **within** a function.
- **Weaknesses:** each department starts chasing its own interest — production cares for cost, marketing for volume; coordination **across** functions is harder; functional heads narrow into their own speciality over time.

Divisional structure — grouped by what is sold or where

- **What it is:** the firm is cut into **divisions** by product line or region, and **each division carries its own** production, marketing and finance functions under a divisional head who answers for its results.
- **Best suited to:** firms with **many product lines** or many markets — a consumer-goods company selling foods, fabrics and electronics.
- **Strengths:** each product's performance is **visible and accountable**; division heads develop all-round skills; decisions are faster because each division moves on its own; adding a product means adding a division.
- **Weaknesses:** every division duplicates the same functions — more managers, more cost; divisions may compete with each other for resources; and power spreads away from the top.

Point	Functional structure	Divisional structure
Grouping basis	Functions — production, marketing, finance, personnel	Product lines or regions
Best for	Large, single-product-line firms	Multi-product, multi-market firms
Accountability	Hard to pin results on one function	Each division's profit is clearly visible
Cost	No duplication — shared departments	Functions duplicated in every division
Manager development	Deep but narrow specialists	All-round generalists per division

Formal and Informal Organisation

Inside every enterprise two organisations coexist: the one drawn on the chart and the one grown by friendship. Both are real, both matter, and questions keep testing whether you can tell them apart and weigh each one's strengths.

Formal organisation — the designed structure

- **Meaning:** the **deliberately created** structure of authority and responsibility relationships, drawn to achieve organisational goals and shown in the organisation chart.
- **Features:** defined authority and responsibility at every position; communication follows official channels; it is impersonal — duties attach to the **post**, not the person.
- **Strengths:** accountability is fixed — performance can be pinned on positions; no overlapping of duties; stability survives personnel changes.
- **Weaknesses:** it can be rigid and slow; official channels delay messages; and it treats people as posts, ignoring their social needs.

Informal organisation — the grown network

- **Meaning:** the network of **personal and social relationships** that arises spontaneously when people interact at work — friends who lunch together, colleagues who help each other without being asked.
- **Features:** no rules or chart — it **grows from within**; leaders emerge by acceptance, not appointment; communication runs through the **grapevine**, fast and unofficial; it satisfies **social** needs — belonging, friendship, recognition.
- **Strengths:** information and help travel fast; members feel supported and morale rises; it fills gaps where the formal structure is silent.
- **Weaknesses:** the grapevine spreads **rumours** as happily as facts; it can resist change the firm needs; and nobody is **accountable** inside it.

Point	Formal organisation	Informal organisation
Origin	Deliberately designed by management	Arises spontaneously from social interaction
Purpose	Achieve organisational goals	Satisfy social and psychological needs
Structure	Shown in the organisation chart — authority fixed	No chart, no rules — leaders emerge by acceptance
Communication	Official channels, slower	Grapevine — fast, unverified
Accountability	Fixed on positions	None — membership is voluntary
Stability	Stable; survives people changes	Unstable; changes with feelings and members

- **The balanced view:** the informal organisation is neither enemy nor ornament — managers who **listen** to it gain a fast early-warning system, and managers who fight it gain resistance.

Delegation — Sharing Authority Downward

No manager can personally make every decision and perform every task — a sales manager handling fifty customers cannot also draft every invoice. So the manager **delegates**: passes part of the work to subordinates, grants them the authority needed to do it, and remains answerable for the result.

- **Meaning:** delegation is the transfer of **authority** from a superior to a subordinate to perform **assigned duties**, while the superior retains answerability for the outcome.
- **Delegation never ends responsibility:** passing the duty down does not lighten the boss's answerability — if the subordinate fails, the boss answers for it.

The three elements of delegation

- **Authority — the right to decide and act:** the granted power to use resources, make decisions and give orders within limits. Authority flows **downward** from superior to subordinate.
- **Responsibility — the duty to perform:** the obligation to carry out the assigned task properly. Responsibility flows **upward** — the subordinate owes performance to the boss.
- **Accountability — the answerability for results:** the obligation to answer for how the authority was used and the duty performed. Accountability **cannot be delegated or shared** — it always rests with the original superior and flows only **upward**.

THE THREE ELEMENTS — THE BALANCE RULE

- **Authority** = the right to decide; **Responsibility** = the duty to perform; **Accountability** = the answerability for the outcome.
- Authority must **match** responsibility: authority without responsibility corrupts; responsibility without authority frustrates.
- Accountability can **never** be delegated — the boss stays answerable.

Why delegation matters

- **Reduces the workload of managers:** routine tasks move down, freeing the manager for planning, policy and exceptions.
- **Develops employees:** exercising real authority builds skill, confidence and judgment — the firm grows its own future managers.
- **Enables quick decisions:** decisions are taken where the information is — no climbing the hierarchy for every small matter.
- **Basis of the hierarchy:** every level of the organisation chart exists because some authority was delegated to it.
- **Supports expansion and growth:** a firm can only grow as wide as its managers can delegate — delegation multiplies one manager's capacity.

Decentralisation — Authority Spread Across Levels

Delegation passes authority down in **one relationship**; decentralisation is the **policy** of dispersing decision-making authority **across the whole organisation**. The top management deliberately

keeps the least necessary power and pushes the rest down to every level — divisions and departments decide their own operations without running upstairs for each one.

- **Meaning:** decentralisation is the **systematic dispersal of authority** to the lowest levels at which it can be exercised competently — the top's conscious choice to delegate widely.
- **It is a policy, not an act:** delegation is an unavoidable feature of any hierarchy; decentralisation is **optional** — the top chooses how much to disperse and at what pace.

Why decentralisation matters

- **Develops initiative and confidence:** when all levels exercise real authority, employees learn judgment — the organisation's decision-making muscle grows at every joint.
- **Develops future managers:** handling real division-level decisions trains a whole bench of managers — promotion becomes a step, not a leap.
- **Quick decisions at the spot:** people closest to the problem decide it, so customers and machines do not wait for headquarters.
- **Relieves the top management:** routine and operational decisions drain away from the top, which then concentrates on strategy and policy.
- **Better control:** divisions become measurable units — their results can be compared, ranked and corrected (the profit-centre idea).
- **Supports growth:** a decentralised firm can add products and branches without clogging the top's desk.

Delegation vs decentralisation — the classic comparison

Point	Delegation	Decentralisation
Meaning	A superior grants authority to **a subordinate** for assigned duties	**Systematic dispersal** of authority to all levels of management
Origin	Arises from the **need** — every hierarchy delegates; compulsory by nature	Top management's **voluntary policy choice**
Scope	Between **two individuals** — one boss, one subordinate	**Organisation-wide** — spreads across levels and divisions
Control	Control stays with the delegating superior	Control shifts to **results** — divisions judged by outcomes
Freedom of action	Limited freedom for the subordinate	Maximum freedom at every level
Status	An act, a **process**	The **result** of policy — extended delegation

EVERYDAY EXAMPLE — THE HOSTEL WARDEN

A head warden **delegates** when she asks one assistant to collect the attendance sheets — one task, one grant of authority, and she still answers to the principal for the hostel. The hostel is **decentralised** when the principal lets each warden run mess menus, discipline and budgets for their own block without asking — authority spread as policy across all blocks, judged by results. One act, one relationship — versus a philosophy for the whole institution.

Key Facts & Terms Cheatsheet

KEY FACTS & TERMS CHEATSHEET — UNIT V (ORGANISING)

Term / fact	What it means	Example / number
Organising (meaning)	Defining and grouping activities + establishing authority relationships	Structure, not just a chart
Importance (7)	Specialisation, clarity, optimum resources, adaptation, administration, development, growth	Specialisation: repetition builds skill
Process step 1	Identification and division of work into specific jobs	School: teaching, accounts, sports, office
Process step 2	Departmentalisation — group similar jobs	Production, marketing, finance, personnel
Process step 4	Establishing reporting relationships — who reports to whom	Salespeople → sales manager → director
Functional structure	Departments by function; best for single product line	+specialisation −cross-function coordination
Divisional structure	Divisions by product/region with own functions	Each division's profit is visible
Formal organisation	Designed structure, fixed authority, official channels	Accountability pinned on posts
Informal organisation	Spontaneous social network, grapevine, no chart	Fast help and fast rumours
Delegation elements (3)	Authority (decide) + Responsibility (perform) + Accountability (answer)	Accountability never delegated
Balance rule	Authority must match responsibility	Authority without responsibility corrupts

Term / fact	What it means	Example / number
Delegation importance	Less workload, employee development, quick decisions, hierarchy, growth	Frees manager for planning
Decentralisation	Systematic dispersal of authority to all levels — top's choice	Divisions as profit centres
Delegation vs decentralisation	Two people vs all levels; compulsory vs voluntary; control with boss vs by results	Warden's task vs principal's policy

Carry everywhere: accountability flows **only upward** and **cannot be delegated**; informal = grown, formal = designed; delegation = one relationship, decentralisation = whole-organisation policy.

Common Errors and Special Cases

COMMON ERRORS & SPECIAL CASES

The mistake students make	What is right	The why / the trap
"Accountability can be delegated along with the task"	Accountability **cannot** be delegated — it stays with the superior	Duties move down, answerability does not; the boss still answers for the outcome.
"Authority and responsibility can be unequal"	They must **match** — extra authority corrupts, extra responsibility frustrates	A subordinate with duty but no power blames the system; one with power but no duty misuses it.
"Delegation and decentralisation are the same thing"	Delegation = one boss to one subordinate; decentralisation = **organisation-wide dispersal policy**	Scope and origin differ — compulsory act vs voluntary policy.
"Decentralisation happens automatically in every organisation"	It is **optional** — the top chooses how much authority to disperse	Every hierarchy delegates something; not every firm decentralises.
"The informal organisation harms the firm"	It **helps and hurts** — fast communication and support,	Smart managers use the grapevine as an early-

The mistake students make	What is right	The why / the trap
	but rumours and change-resistance	warning system instead of fighting it.
"Functional structure suits every big firm"	It suits **single-product-line** firms; multi-product firms need divisions	A foods-plus-electronics firm needs product accountability — that is the divisional logic.

- **Spot the pattern:** the unit's traps are **direction and scope** errors — which way authority flows, what cannot move, and how wide the power spread is. Always ask: one relationship or the whole organisation?
- **One special case:** if a question says "even after giving the work to his junior, the manager is answerable for the failure" — the tested fact is **accountability cannot be delegated**.

The Whole Chapter on One Page

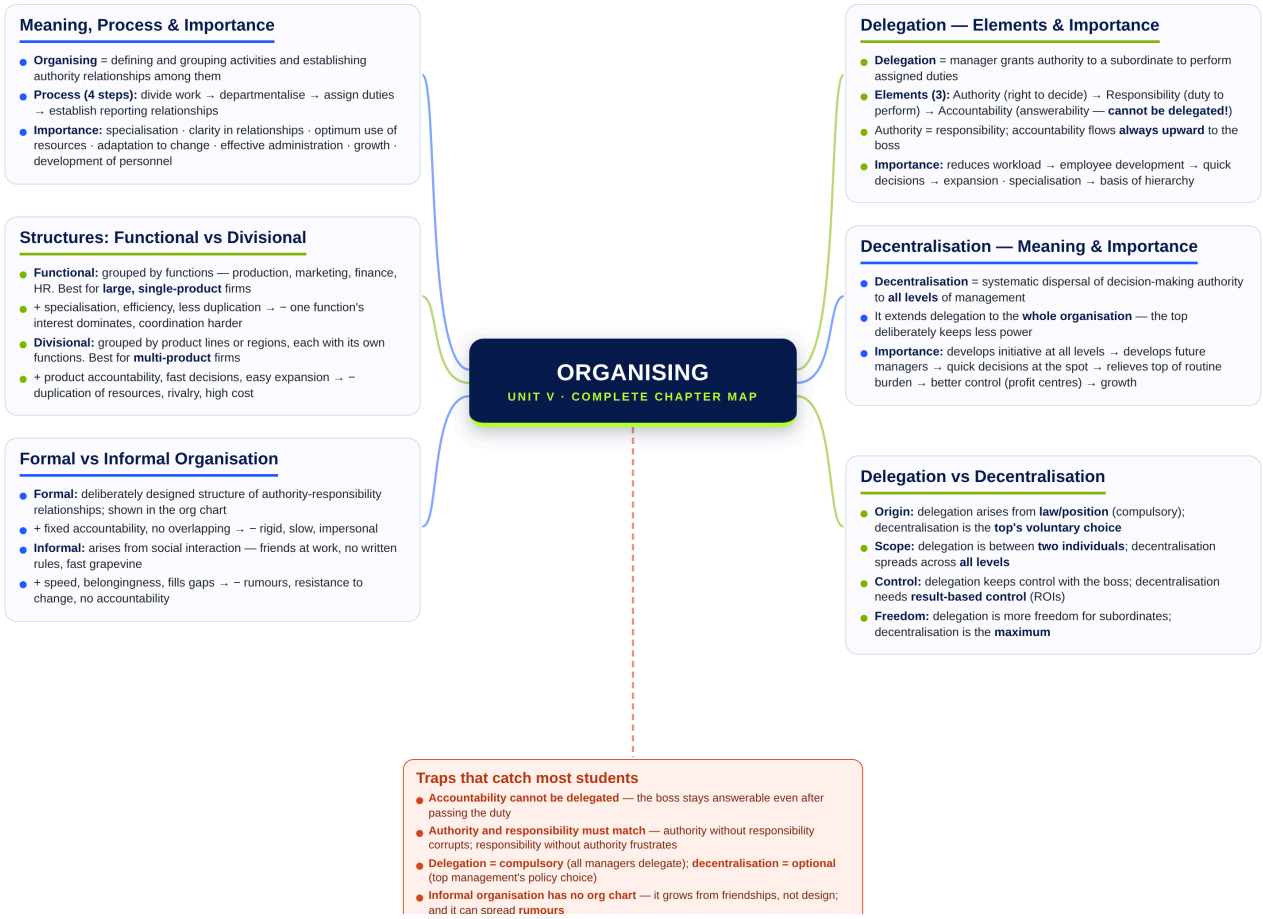


Figure 2: Figure 2 — Whole chapter on one page: meaning and process, structures, formal vs informal, delegation and decentralisation with their comparison, and the four traps that catch most students.

Practice Questions

Q1. The correct order of the steps in the organising process is:

(A) departmentalise → divide work → assign duties → reporting relationships
(B) divide work → departmentalise → assign duties → establish reporting relationships
(C) assign duties → divide work → reporting relationships → departmentalise
(D) divide work → assign duties → departmentalise → reporting relationships

Q2. A large firm making a single product line organises its departments as production, marketing, finance and personnel. The structure it follows is:

(A) divisional structure
(B) functional structure
(C) informal organisation
(D) centralised structure

Q3. A consumer-goods company sells foods, fabrics and electronics, and each product line has its own production, marketing and finance heads reporting to a divisional head. This firm uses a:

(A) functional structure
(B) formal structure only
(C) divisional structure
(D) flattened structure

Q4. An organisation that arises out of social interaction at the workplace, has no written rules or chart, and communicates through the grapevine is the:

(A) formal organisation
(B) divisional organisation
(C) functional organisation
(D) informal organisation

Q5. The three elements of delegation, in the order authority flows, are:

(A) accountability, responsibility, authority
(B) authority, responsibility, accountability
(C) responsibility, authority, accountability
(D) authority, accountability, responsibility

Q6. Which one statement about accountability is correct?

(A) it can be shared with subordinates
(B) it can be delegated but not divided
(C) it can neither be delegated nor shared — it always flows upward
(D) it flows downward along with authority

Q7. A subordinate is given the duty of preparing a monthly report but is not given access to the data needed to prepare it. This violates:

(A) the rule that accountability cannot be delegated
(B) the balance rule — authority must match responsibility
(C) the principle of departmentalisation
(D) the requirement of a formal organisation

Q8. Decentralisation is best described as:

(A) the compulsory transfer of one task from boss to subordinate

(B) the systematic dispersal of decision-making authority to all levels, chosen by top management

(C) the removal of all authority from the top level

(D) the same thing as delegation applied to one employee

Q9. Which point of difference between delegation and decentralisation is correct?

(A) delegation is voluntary; decentralisation is compulsory

(B) delegation is organisation-wide; decentralisation is between two persons

(C) delegation is between two individuals and compulsory; decentralisation is organisation-wide and voluntary

(D) both give complete freedom to the top management

Q10. Under decentralisation, control over divisions is exercised mainly by:

(A) personally watching every employee's work

(B) judging results of each division — the profit-centre approach

(C) refusing to delegate any authority

(D) dissolving the organisation chart

Solutions

Sol. Q1. The process always runs: divide the total work into jobs (1) → group jobs into departments (2) → assign each department its head (3) → fix who reports to whom (4). Every shuffled option breaks that order.

Answer: (B)

Sol. Q2. Grouping by **functions every business performs** — production, marketing, finance, personnel — is the **functional structure**, best suited to large firms with a single product line.

Answer: (B)

Sol. Q3. Divisions cut by **product line**, each carrying its own functions under a divisional head, define the **divisional structure** — designed for multi-product, multi-market firms where each product's results must stay visible.

Answer: (C)

Sol. Q4. Spontaneous, chartless, grapevine-based — that is the **informal organisation**, born from social interaction rather than management design.

Answer: (D)

Sol. Q5. The subordinate first receives **authority** (the right to decide), then owes **responsibility** (the duty to perform), and the boss retains **accountability** (answerability) — which flows only upward and cannot be delegated.

Answer: (B)

Sol. Q6. Accountability can **neither be delegated nor shared**: passing duties downward never moves the boss's answerability for results. Authority flows down; accountability flows only up.

Answer: (C)

Sol. Q7. Duty without the power to perform it breaks the **balance rule**: responsibility must be matched by equal authority. The report duty needs data access — authority — to be fair.

Answer: (B)

Sol. Q8. Decentralisation is the **systematic dispersal of authority to all levels** — a deliberate policy of top management, not a single act between two people (that is delegation).

Answer: (B)

Sol. Q9. Delegation arises from the **need** of every hierarchy — boss to one subordinate, compulsory in nature. Decentralisation is the top's **voluntary choice** to spread authority organisation-wide.

Answer: (C)

Sol. Q10. Once authority is dispersed, the top no longer watches each action — it **judges each division by its results**, comparing profit-centres against targets. That result-based control is a hallmark of decentralisation.

Answer: (B)

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